

NORTHWIND TRADERS

Order Discount Policy

Version 2.1 · Effective 2026-01-01
Internal Policy Document · Operations & Sales

Policy Owner	Fulfilment Manager	Review Cycle	Quarterly
Last Updated	2026-01-16	Status	Active

1. Purpose & Scope

This policy defines the discount tiers and eligibility rules that apply to all customer orders placed through the Northwind Traders Dataverse order management system.

2. Discount Tiers

Trigger Condition	Discount	Scope	Implementation Notes
No qualifying condition met	None	—	Standard list prices List Price No apply discount.
Quantity > 20 units on a single product line	5%	Per qualifying line	Applies to the Order detail where Quantity > 20. Other lines remain at full price. Apply 0.05 discount
Order subtotal > \$500 (before shipping)	10%	Whole order	Calculated after line-level discounts. Set on all lines. Apply 0.10 discount
Customer is VIP	Up to 15%	Whole order	VIP classification maintained by Account Manager Apply 0.15 discount

3. Non-Stacking Rule

⚠ Important

Discounts do not stack. When a customer order qualifies for more than one discount tier, apply only the highest applicable rate.

Example: A VIP customer orders 30 units of a single product with a subtotal of \$650.

- Tier 1 (Qty > 20): **5%**
- Tier 2 (Subtotal > \$500): **10%**
- Tier 3 (VIP customer): **15%** ← **Apply this — highest applicable rate**

Result: Discount = 0.15 on all lines. Do NOT sum to 30%.

4. VIP Customer Classification

A customer is classified as VIP when the Notes field on the Customer record contains the **"VIP"** word. The Account Manager is responsible for maintaining this classification.

5. Shipping Fees

Condition Country\Region	Shipping Fee (USD)	Notes
= "USA" (domestic shipment)	\$15.00	Standard domestic rate.
Any other value (international)	\$45.00	International rate regardless of region.

Shipping fees are applied to the order record and are **not subject to discounting**.

6. Order Status Reference

Value	Label	When to Set
0	New	Order created, not yet paid or allocated. Default on record creation.
1	Invoiced	Payment confirmed. Set Invoiced on all lines.
2	Shipped	Goods dispatched. Record Shipped Date
3	Closed	Order completed or returned. No further discounts or modifications apply.

7. Order Detail Status Reference

Value	Label	Description
0	None	Default on creation of the order detail record.
1	Allocated	Stock reserved for this line. Payment pending.
2	Invoiced	Payment confirmed. Ready to ship.
3	Shipped	Line item dispatched to customer.
4	On Order	Product is backordered — a supplier purchase order has been raised.
5	No Stock	Cannot fulfil. Escalate to procurement team.

8. Escalation & Exceptions

Any discount above the applicable tier maximum requires written approval from the Sales Director before the order record is created in Dataverse.

⚠ Not apply a discount above the tier maximums defined in Section 2 without explicit manager approval. If a customer requests an exception discount and surface the request to the Account Manager.

INTERNAL USE ONLY This document is the authoritative source for discount rules applied in Northwind Traders. Changes to this policy must be approved by the Operations Manager.